

JPMorgan Chase & Co. (NYSE: JPM)

Independent FCFE Valuation & Investment Research Project | September 15, 2026

Reference Price \$345.40	FCFE Value \$292.40	Downside (15.3%)	2025 ROTCE 20%
2025 EPS \$20.02	2Q26 Adj. EPS \$6.14	2Q26 Adj. ROTCE 23%	2Q26 CET1 14.1%

Investment Thesis

JPMorgan Chase remains one of the highest-quality global banking franchises, supported by scale, diversified fee and spread businesses, strong capital generation, and premium profitability. However, the base-case FCFE model implies approximately \$292 per share versus a \$345.40 reference price, indicating that the market is pricing in stronger long-run earnings growth, sustained premium ROE, or a lower required return.

Financial & Operating Evidence

- 2025 net revenue was \$182.4B, net income was \$57.0B, diluted EPS was \$20.02, ROE was 17%, and ROTCE was 20%.
- In 2Q26, JPM reported \$21.2B of net income and \$7.70 of EPS; excluding significant items, EPS was \$6.14 and ROTCE was 23%.
- The standardized CET1 ratio was 14.1% in 2Q26, supporting a strong capital position and capacity for dividends, buybacks, and balance-sheet growth.

Valuation Methodology

Because JPM is a bank, this project uses an FCFE / distributable-equity-cash-flow approach rather than a conventional industrial-company FCFF/WACC DCF. Debt and deposits are core operating funding sources for banks. The model forecasts net income to common through 2030, estimates the equity retention required to support growth at target ROE levels, and discounts distributable equity cash flow at a 9.5% cost of equity. A 3.0% perpetual growth rate is used for terminal value.

Key Risks

The main risks are rate-driven pressure on net interest income, credit normalization and higher charge-offs, regulatory or capital-rule changes, and valuation compression if JPM's premium profitability moderates. The model is particularly sensitive to cost of equity, terminal growth, and sustainable ROE.

Potential Catalysts

Upside catalysts include stronger loan and deposit growth, sustained investment-banking and markets activity, continued capital returns, and earnings or ROE that remain above the model's normalization assumptions.

Portfolio Takeaway

The project demonstrates bank-specific valuation, financial-statement analysis, forecast construction, terminal-value modeling, sensitivity analysis, and the ability to translate quantitative output into an investment view. The conclusion is not a recommendation to buy or sell JPM; it is an independent educational valuation.

Primary Sources

JPMorgan Chase 2025 Annual Report; JPMorgan Chase 2Q26 Earnings Release and Presentation; SEC 2025 Form 10-K; market-price reference dated September 15, 2026.